

PRE-APPROVED

PRE-APPROVED

The Credit Union Playbook for
Auto Loan Retention in the AI Era

CHRISTIAN DANIEL ANGHELCEV

Independently published

Copyright © 2026 by Christian Daniel Anghelcev.
All rights reserved.

No part of this book may be reproduced in any form or by any electronic or mechanical means, including information storage and retrieval systems, without written permission from the author, except by a reviewer who may quote brief passages in a review.

This book is intended to provide general information on credit union auto lending strategy. It is not legal, compliance, regulatory, financial, or investment advice, and it does not account for the specific circumstances, charter, or regulatory obligations of any individual institution. Readers should consult their own legal, compliance, and lending professionals before acting on any strategy described here. The author and publisher make no warranties and assume no liability for actions taken based on this material. Company and product names referenced are used for identification and commentary only and remain the property of their respective owners.

Carscu and the Carscu logo are trademarks of their respective owner.

First Edition
Independently published

ISBN: 979-8-1812-0646-5

*For every lending team that did everything right
and still watched the loan walk out the door.*

And for the members who trusted us first.

*“Not indirect lending.
The opposite of indirect lending.”*

Contents

Introduction: The Loan That Got Away	1
1 The Leak You Can't See on a Spreadsheet	7
2 How You Became the Invisible Lender	15
3 What Really Happens in the Box	23
4 Why the Auto-Buying Service Didn't Save You	31
5 Retention Is the Whole Business	39
6 Make It Easy to Do Business With You First	47
7 Better Service Is the Strategy, Not the Slogan	55
8 The No-Flip Structure	63
9 The AI Engine That Makes It Affordable	69
10 Building the Pre-Approved Credit Union	77
Conclusion: Take the Auto Loan Back	85
How to Go Deeper	87
About the Author	89

Introduction: The Loan That Got Away

HER name was Maria, and on paper she was everything a lending department wants. Sixteen years a member. Direct deposit. A checking account she actually used, a small balance on a rewards card she paid off every month, and a credit score that had crossed 720 the year before. When she decided to replace her aging Honda, she did exactly what we had spent good marketing money training her to do. She opened her phone, logged into her credit union, and applied for an auto loan. Approved in minutes at a rate her credit union was proud of. She printed the approval, folded it into her purse, and drove to the dealership feeling like she had done her homework.

She had. And it didn't matter.

By the time Maria left the lot that evening, she was financed through the manufacturer's captive lender at a rate two points higher than the one she walked in with. Her credit union never funded a dollar. The approval in her purse might as well have been a grocery list. Somewhere in our reporting it counted as an application, maybe even an approval, and our dashboards looked healthy. But the loan, the real thing, the interest income that pays for the branch and the staff and the dividend, went to a company in Tokyo.

If you run lending at a credit union, you already know this story. You've lived a hundred versions of it. You just may not have a name for what happened, or a number that captures how often it hap-

pens, because the systems we use are very good at counting the things that make us feel productive and very bad at counting the things that are quietly killing us.

I have spent my entire working life on both sides of that dealership desk. I started where most car people start, on the floor, learning that a sale is a sequence of small agreements and that the last and most profitable agreement happens in a little office at the back called Finance and Insurance. I watched F&I managers turn a financed car into a profit center, and I learned exactly how a pre-approval from a bank or a credit union gets handled when it lands on their desk. Later I spent nearly a decade running a credit union auto-buying service, sitting on the other side, trying to win those same members back. I have built the marketing, written the approvals, and watched the funded numbers come in lower than the approved numbers, month after month, year after year, and I have sat in the meetings where everyone agreed it was a problem and no one could say exactly why it kept happening.

This book is the answer I wish someone had handed me fifteen years ago.

Here is the short version, and the rest of these pages are just the long version with the receipts. Your credit union does not have an auto-lending problem. It has an auto-*retention* problem. You are not failing to attract borrowers; you are failing to keep the loans you already won. The application volume is fine. The approvals are fine. The members trust you enough to come to you first. And then they walk into a building designed, lit, scripted, and compensated to take that loan away from you, and most of the time it works, and you pay for the marketing that delivered them there.

For thirty years the industry's answer to this was indirect lending. If the loan is going to be decided at the dealership, the thinking went, then put your money at the dealership. Buy the paper there. It worked, for a while, in the way that renting works. You got volume without a relationship, balances without loyalty, and a seat at

a table where the dealer set the rules and took a cut. Then the math turned. Margins thinned, delinquency crept, the captives sharpened their game, and credit unions started backing away from the indirect channel they had leaned on. The result was predictable. Auto market share for credit unions, which peaked above twenty percent in 2018, slid into the high teens and kept sliding. We retreated from the only place we had ever really competed, and we called it discipline.

There is a better answer, and it is not more indirect lending. It is the opposite of indirect lending.

The opposite of indirect lending is a credit union that gets to the member before the dealership instead of after, that makes buying the car as easy as getting the loan, that keeps the member inside its own brand from the first click to the final payment, and that structures the deal so the loan it approves is the loan it funds. It is a credit union that treats an auto loan not as a transaction to originate but as a relationship to retain for its entire life, and then for the next car, and the one after that. And, crucially, it is a credit union that can do all of this without hiring a department to run it, because the tools to automate the work, finally, exist.

You have tried some of this before. Most credit unions have. You bought an auto-buying service, the kind that promises to send a member a few quotes or have a buyer haggle on their behalf, and you found that almost nobody used it and the ones who did still ended up at a dealer's desk. You ran the indirect program and watched the margins disappear. You sent the rate-match emails and recaptured a trickle. None of it was wrong, exactly. It just wasn't built for the actual problem, which is not getting the member to start with you. They already start with you. The problem is keeping them.

This book is for the CEO and the VP of Lending who are tired of watching approved turn into nothing. It is organized to be read in an evening, on a flight, or in the gaps between the meetings that fill

your week. The first three chapters are diagnosis: where the loan leaks, how you became invisible, and what really happens to your member in that back office. The middle of the book is the reframe and the playbook: why retention is the whole business, why the old buying services didn't fix it, how to make yourself the easy first choice, and how a no-flip structure changes the rules. The last chapters are about execution in the age of artificial intelligence, which is the first thing in my career that genuinely changes what a small lending team can accomplish, and about how to build the thing without breaking your charter or betting the institution.

I will show you real numbers from real pipelines, including one marketplace where the gap between approved and funded finally closed. I will name names where it helps. And I will tell you, plainly, where the bodies are buried, because I helped bury a few of them.

A word about what I am not going to do in these pages. I am not going to sell you software. There is a platform behind the ideas in this book, I built it, and I'll be honest about that when it's relevant, but a tool you can buy is not the point and it never was. The point is a way of seeing your auto business that, once you've seen it, you can't unsee: that your problem was never origination and always retention, that the loan leaks in a place your reports don't show you, and that the fix is structural, not promotional. You can act on that insight with my help, with someone else's, or entirely on your own. The insight is yours to keep either way, and it's worth far more than any product.

What I want you to walk away able to do is concrete. To put a real number on your own leak, the gap between approved and funded, instead of flying blind on application counts. To explain to your board why that gap exists and why it's a primary-relationship problem rather than an auto problem. To recognize the difference between a solution that fixes the structure and a prettier version of the thing that failed. And to see, clearly enough to act, what it would take to get to your member first, keep them inside an expe-

rience you control, and structure the deal so the loan you approve is the loan you keep. If you finish this book able to do those four things, it did its job, whatever you decide to build afterward.

Maria deserved better. So did the credit union that spent sixteen years earning her trust and then handed her, gift-wrapped, to a captive lender. The good news is that the window to fix this is open, the tools are here, and the members already want to do business with you. We just have to stop making it so hard for them, and so easy for everyone else.

Let's take the auto loan back.

The Leak You Can't See on a Spreadsheet

THERE is a number that does not appear on any report your team sends you, and it is the most important number in your auto-lending operation. It is the gap between the loans you approve and the loans you fund. Not the approval rate. Not the look-to-book on indirect paper. The plain difference between a member who got a yes from your credit union and a member whose loan actually landed on your books. That gap is where your portfolio bleeds, and it bleeds quietly, in a way that almost every system you own is designed to hide.

Walk through how a typical month gets reported. Applications are up, so the marketing team is happy. Approval volume is healthy, so the lending team looks productive. The funded number is whatever it is, and because it grew a little over last year, nobody panics. What no one puts on a single slide is the comparison that matters: of every hundred members you told yes, how many did you actually fund? When you finally run that number, and most credit unions have never run it cleanly, it tends to land somewhere that makes the room go quiet.

I have seen pipelines where two hundred loans were created, a hundred and ninety were approved, and eighty-five funded. Read that again. Ninety-five members who wanted your money, qual-

ified for your money, and were told they could have your money simply never showed up as a funded loan. The dealership got them. Or the captive got them. Or they drifted, got distracted, and bought through whatever was easiest at the moment of decision, which was never going to be you, because you had already done your part and gone quiet.

Applications up, balances flat

This is the signature of the problem, and once you learn to see it you will see it everywhere. Application volume rises. Funded balances stay flat or shrink. The two lines, which should move together, pull apart. Every dollar you spend driving applications is doing its job. The members are responding. They are raising their hands. And then they vanish somewhere between the approval and the contract, and the marketing spend converts into interest income for an institution that did none of the marketing.

When a CEO tells me their auto program is fine because applications are growing, I ask one question. *What did you fund as a percentage of what you approved, and how has that ratio moved over three years?* The growth in applications is often masking a decline in conversion. You are running faster to stay in the same place, paying more per funded loan every year, and calling the rising application count a success while the thing that pays the bills erodes underneath it.

The slide nobody scheduled

Step back from your own institution and the pattern is national. Credit union auto market share peaked in 2018 at a little over twenty percent of the market. It has been sliding ever since, down through the high teens and lower, even in years when credit unions were originating plenty of loans and sitting on record balances. How does share fall while balances hit records? Because the whole market grew, prices climbed, loan sizes ballooned, and credit unions captured a shrinking slice of a bigger pie. Record

balances and falling share at the same time is not a paradox. It is exactly what slow bleeding looks like when the patient is also gaining weight.

Two forces drove the slide. The first was a deliberate retreat from indirect lending, as credit unions looked at thinning margins and rising delinquency and decided to pull back from the dealer channel. That was a defensible risk decision, but it had a cost nobody fully priced: it surrendered the only ground on which credit unions had been competing for the car-buying moment. The second force was the captives and the banks getting better and faster at the point of sale, while credit unions got slower and more cautious. The dealership is a place where speed and certainty win, and we showed up with neither.

Why your dashboards lie to you

Your reporting was built to count activity, not outcomes, and activity is comforting. Applications, approvals, decisions per underwriter, average response time: these are real metrics, and they all point up and to the right when the marketing engine is humming. None of them tell you whether the member ended up financed with you. The one report that would tell you the truth, approved-to-funded over time, is rarely built, because it is nobody's job to build a number that makes the whole department look bad.

There is also a softer reason. The leak doesn't feel like a loss. A declined loan feels like a loss; someone was told no. But an approved loan that never funds feels like nothing at all. The member was told yes. The system recorded a yes. The disappearance happens off-screen, at a dealership you never see, and the absence of a funding is not the kind of thing that triggers an alert. You don't get a notification that says *the loan you approved this morning was just flipped to a captive at 4:47 p.m.* You just get a slightly lower funded number at the end of the month, easily blamed on rates, or season, or inventory.

What the leak is actually costing you

Let's make it concrete, because abstractions don't move boards. Suppose your credit union approves three thousand auto loans a year and funds eighteen hundred of them. That is a sixty percent funding rate, which would be on the better end of what I see. The twelve hundred loans you approved and didn't fund are not nothing. At an average balance of thirty thousand dollars, that is thirty-six million in originations that you qualified, marketed to, underwrote, and then watched walk away. Even at a modest net interest margin, the lifetime income on those loans is in the millions, every year, recurring. And that is the optimistic version, the sixty percent version. Plenty of credit unions are funding far less of what they approve and have simply never measured it.

Now add the part that doesn't show up in the loan ledger at all. The auto loan is, for many members, the anchor of the relationship. It is the product with the highest balance, the longest term, and the most frequent touchpoint through the monthly payment. Members who finance their car with you are dramatically more likely to stay, to add products, to treat you as their primary institution. Every loan that leaks doesn't just cost you the interest. It loosens the member's grip on you and tightens someone else's. The captive that booked Maria's loan now has a five-year relationship with your member and a reason to talk to her about the next car before you do.

A tale of two reports

Let me show you how the same month looks through two different lenses, because the lens is the whole problem.

Through the lens your team uses today, March was a good month. Eleven hundred applications, up nine percent year over year. Seven hundred and forty approvals. A healthy mix of new and used. Average response time under two hours during business days. Marketing reported strong cost-per-application. Lending

reported solid throughput. Everyone left the monthly review nodding, and the dashboards were green.

Through the lens of approved-to-funded, the same March was a quiet disaster. Of those seven hundred and forty approvals, four hundred and ten funded with you. The other three hundred and thirty members, every one of them qualified, every one of them told yes, financed their cars somewhere else or didn't buy at all. Your funding rate on approvals was fifty-five percent, down from sixty-three percent two years earlier, and nobody noticed because nobody built the report that would have shown the eight-point slide. You spent the marketing budget. You did the underwriting. And you funded a little more than half of the members you won.

Both reports describe the same March. One of them is comfortable and useless. The other is uncomfortable and true. The difference between a credit union that's quietly losing the auto franchise and one that's defending it is, more than anything else, which report leadership chooses to look at.

What this sounds like in the boardroom

When you bring this to your board, expect the reflexes, because they're the same reflexes that kept the leak invisible in the first place. Someone will say applications are growing, so the program is healthy. Someone will say the funded-elsewhere members probably didn't qualify for the deal they wanted, or chose a zero-percent captive promotion you couldn't match, and there's nothing to be done. Someone will say auto is a thin-margin commodity anyway and the real growth is in other products.

Here's how to answer. Applications growing while funding-rate falls is not health; it's rising cost per funded loan dressed up as growth. The members weren't lost to a rate you couldn't match; most were lost to a finance office that never showed them a rate at all, only a payment. And auto isn't a commodity to your members' loyalty; it's the keystone product, the biggest balance and the most

frequent touch, and the institution that finances the car has the inside track on everything else. The leak isn't an auto problem the board can delegate to lending. It's a primary-relationship problem, and primary relationships are the whole franchise.

A worked example, so the shape is unmistakable

Let me put rough numbers to it, not because your book will match mine, but because the shape is what matters and the shape repeats everywhere I've seen it. Take a mid-size credit union running a healthy-looking auto program. In a given stretch, say two hundred and ten members start an auto application. The marketing worked; the funnel is full. Of those, around a hundred and ninety get approved. Approval rate looks great, and this is the number that goes in the board deck.

Now keep following them, which is the part nobody does. Of the hundred and ninety approved, maybe a hundred and fifty actually engage past the approval, log in again, look at a car, take a next step. The other forty got their approval and evaporated, off to a dealership the same weekend. Of the hundred and fifty who engaged, a smaller group reaches the point of a real purchase, and a smaller group still actually funds with you. By the time the dust settles, you might fund eighty-five of the original two hundred and ten. The rest, well over half, bought cars. They just didn't buy them with your loan.

Look at what that means. Your approval rate was ninety percent and your reporting glowed. Your *funding* rate, approvals that became loans you actually hold, was closer to forty-five percent. The gap between those two numbers, the members who qualified and wanted you and still ended up financed elsewhere, is the leak, in the flesh. And notice it isn't a credit problem; everyone in that funnel was approved. It's a finishing problem. You won them at the top and lost them at the bottom, and the only report you looked at showed you the top.

Run your own version of this and one more thing tends to fall out: the members you funded, you funded *fast*, often in a week or so when the path was clean, and the ones who leaked tended to be the ones who went quiet for a few days, long enough for a weekend dealer visit to settle their financing for them. Speed and leakage are the same story told twice. The longer the gap between approval and delivery, the more time the box has to do its work.

Seeing it for the first time

The first step out of this is simply to measure it, honestly, in a way that cannot be spun. Build the one report nobody wants to build. Take every auto application from the last three years, follow each one to its end, and sort the endings into buckets: funded by us, funded elsewhere, never funded at all. Then watch the trend line on the middle bucket, the funded-elsewhere members, the ones you approved and lost. That line is your leak. It is almost certainly larger than your team believes and growing faster than your reports suggest.

I promise you the number will be uncomfortable. Sit with the discomfort, because it is also the best news in this book. A declined-loan problem is hard to fix; you can't lend to people who don't qualify. A leak is the opposite kind of problem. These are members who already chose you, already qualified, already wanted your money. You don't have to win them. You already won them. You just have to stop losing them in the last hundred feet. The rest of this book is about exactly that hundred feet, who controls it today, and how you take it back.

How You Became the Invisible Lender

FOR most of the last three decades, the credit union strategy for auto lending could be summarized in one word: *indirect*. If the decision was going to be made at the dealership, then the money had to be at the dealership. So credit unions signed up with the platforms, set their rates and their buy programs, and let the dealer's finance office submit deals to them alongside the banks and the captives. The loans came in by the truckload. Balances grew. For a long time it looked like a win.

It was a win the way leasing a storefront in someone else's mall is a win. You get foot traffic you didn't have to generate. You also live by the mall's rules, pay the mall's cut, and never once meet the customer as your own. Indirect lending gave credit unions volume, and in exchange it took the one thing a cooperative is supposed to be built on: the direct relationship with the member. Somewhere in the pursuit of balances, we agreed to become invisible.

The bargain and the bill

Here is the bargain in plain terms. In indirect lending, the dealer owns the moment of sale. The dealer's finance manager decides which lender's offer to present and how to present it. Your rate is

one row in a software screen the member never sees, sorted next to a captive offer that may carry a fatter dealer commission, a bank that's hungry that quarter, and a subprime lender for the deals that need one. The finance manager is not your employee, does not share your goals, and is compensated in ways that often run directly against your interests. You handed the most important conversation in the entire transaction to a person paid to route it elsewhere.

The bill for that bargain came due slowly. First the margins compressed, because everyone was competing on rate in the same software screen and the only way to win the row was to sharpen the pencil. Then the indirect channel started carrying more risk than expected; loans sourced through dealers behaved differently than loans sourced directly, and it could take months for a credit union to notice a souring trend coming from a particular dealer or partner. Delinquency crept. The cost to acquire each loan, once you counted the dealer reserve and the platform fees, stopped looking like a bargain at all. So credit unions did the sensible thing and pulled back. And in pulling back, they discovered the deepest cost of the indirect bargain: after years of buying paper instead of building relationships, they had no other way to compete for the car.

Renting relationships

There is a difference between owning a relationship and renting one, and indirect lending is renting. A member whose loan you bought through a dealer doesn't know you funded it. They got their car at the dealership, signed papers at the dealership, and may not register which institution holds the note until the first statement arrives, if then. You have a loan, but you do not have a member in any meaningful sense. You can't easily cross-sell them, because they don't think of you as theirs. You can't defend the loan when a refinance offer arrives, because you have no relationship to defend it with. And when the car gets paid off or traded, there is no reason

on earth they come back to you first, because they never came to you in the first place.

Compare that to a member who applied with you directly, got approved by you, and financed through you, knowing all along that it was you. That member has a relationship with a face on it. That is the member who adds the checking account, the credit card, the home equity line. The cruel irony of the indirect era is that credit unions spent enormous energy acquiring loans in the one way guaranteed to prevent the relationship those loans were supposed to build.

The captives sharpened while we dulled

While credit unions were learning the limits of indirect, the captive lenders, the financing arms of the manufacturers, were perfecting the point of sale. They had every incentive to. A captive exists to sell the parent company's cars, and subsidized financing is the sharpest tool in that kit. They could buy down rates, run zero-percent promotions, and structure offers a credit union balance sheet simply cannot match on a given model in a given month. More importantly, they sat where the decision happened, inside the dealership, woven into the finance office, with the manufacturer's marketing muscle behind them.

Credit unions, meanwhile, got slower. Risk discipline tightened response times. Underwriting added steps. The member who wanted an answer in the finance office at six on a Saturday evening got a same-business-day callback from the credit union, which in dealership time is the same as a no. Speed and certainty win at the point of sale, and we steadily surrendered both. We told ourselves caution was prudence, and some of it was, but the member experiencing it just felt friction, and friction at the moment of decision sends the loan to whoever removes it. That is almost always the captive sitting ten feet away.

Why “just do more indirect” is the wrong reflex

When market share slides, the reflex is to crank the lever that used to work. Re-engage the dealers, sharpen the buy rates, get aggressive in the channel again. I understand the reflex and I think it is a trap. Going back into indirect harder means competing again on the dealer’s turf, by the dealer’s rules, on price, while carrying the channel’s risk and paying the channel’s cut, all to acquire loans that still don’t build relationships. You can win volume that way. You will not win the member, and you will not fix the leak, because the leak *is* the dealer-controlled point of sale, and indirect lending is the strategy of accepting that the dealer controls it.

The other reflex is to retreat further, tighten up, ride the high-yield loans you can get directly and let the share keep sliding. That’s the slow fade. It protects the portfolio in the short run and surrenders the franchise in the long run, because the auto loan is the front door to the primary relationship, and a credit union that stops competing for the car is a credit union slowly opting out of being its members’ main institution.

The reserve, the platform fee, and the true cost of a rented loan

Most credit unions never fully price what an indirect loan actually costs them, because the costs are scattered across the deal and easy to wave away one at a time. Add them up and the picture changes.

There’s the dealer reserve, the slice of the rate the dealer earns for sending you the loan, which is the price of admission to the indirect channel. There’s the flat fee or platform cost per funded contract. There’s the higher delinquency that indirect paper tends to carry compared to loans your members bring you directly, which shows up months later as charge-offs you didn’t forecast. And there’s the cost you never book at all: the relationship you didn’t get, because the member who came in through a dealer doesn’t know you and won’t behave like a member.

Stack those together and a loan that looked like a cheap way to grow balances turns out to be an expensive way to rent strangers. You paid to acquire a note with no relationship attached, carrying more risk than your direct book, sourced from a channel where you control nothing. The indirect loan isn't free volume. It's the most expensive kind of growth there is, and it's expensive in exactly the ways that don't show up until later.

The data you'll never have

Here's a cost of indirect that lending teams rarely name out loud: you fly blind. When you buy paper through a dealer, you don't own the front of the relationship, so you can't see the warning signs early. It can take months to notice that loans from a particular dealer are souring, because you're looking at performance after the fact instead of watching behavior in real time. You're a passenger in a car someone else is driving, finding out about the bad turns only when you feel the crash.

Contrast that with a member who came to you directly, shopped in your environment, and financed with you knowing it was you. You have the whole picture: who they are, what they looked at, what they chose, how they behave. That data is the raw material of defense and recapture, the two retention moments we'll build on later. Indirect lending doesn't just cost you the relationship and the margin. It costs you the information you'd need to keep the loan once you have it. You can't defend what you can't see.

The opportunity cost nobody books

There's a cost to being the invisible lender that never appears on any report, because it's a cost of things that didn't happen, and accounting is bad at absences. It's the opportunity cost of the relationships you never got to build, and once you add it up, it dwarfs the margin you lost on any single loan.

Think about what the car loan actually is in a member's financial life. It's usually their second-largest debt after the mortgage, it recurs every few years, and the act of financing it is one of the few moments a member is actively thinking about money and open to a conversation about it. The institution that finances the car is standing next to the member at a rare moment of financial attention. That moment is the natural on-ramp to everything else: the refinance later, the next car, the credit card, the home-equity line, the conversation about the kid's first car or the retirement-account rollover. The auto loan isn't just a profitable product. It's the doorway to the primary relationship.

When you're the invisible lender behind the indirect deal, or when the loan leaks to a captive entirely, you don't just lose the spread on that one loan. You lose your place beside the member at the moment of attention. The captive in Tokyo isn't going to cross-sell your member a HELOC. The dealer isn't going to deepen your share of wallet. That member drives off having just made a major financial decision without you in the room, and the doorway to everything else closes quietly. You'll never see it on a report, because you can't report on a conversation that never started. But it's the most expensive thing the leak takes from you, and it compounds for years.

Now flip it. A member who finances the car *with* you, knowing it's you, in an experience you control, hasn't just given you a sound loan. They've given you the moment of financial attention, and with it the chance to be the institution they think of for the next thing and the thing after that. The auto relationship done right is the anchor of the primary relationship, the high-frequency, high-balance touch that keeps you central to the member's financial life. That's the real prize, and it's why "auto is a thin-margin commodity" is such a dangerous thing to believe. The margin on the loan is the least of it. The relationship the loan anchors is the whole franchise.

This is the deepest reason the invisible-lender model has to end. It isn't only that you're renting instead of owning, or that the captives out-execute you at the point of sale, though both are true. It's that every loan you let leak is a primary relationship you let slip, a doorway you let close, a member who made a financial decision in a room you weren't in. You can survive losing some margin. You cannot build a franchise while handing away, a few cars at a time, the single best moment you get to be central to your members' financial lives.

A third option

There is a way out that is neither charging back into indirect nor retreating from the field, and the entire rest of this book is about it. Stop accepting that the dealer owns the point of sale. Move the point of sale. If the loan is decided at the dealership today, then change where the deciding happens. Get to the member earlier, when they are still shopping, still online, still yours. Make the act of buying the car something they do inside your brand, not the dealer's. And structure the transaction so that the loan you approve is the loan that funds, because the place the member shops is a place where no one is paid to flip them.

That is not indirect lending with a nicer interface. It is the structural opposite of indirect lending: the credit union at the center of the journey instead of buried in a software row at the end of it. To get there, though, you first have to understand exactly what happens to your member in the room where you currently have no presence at all. That room is the finance office, and it is the subject of the next chapter, written by someone who used to work in it.

What Really Happens in the Box

THE finance office at a dealership has a nickname among the people who work there. They call it *the box*. It is usually a small room off the showroom floor, with a door that closes, a desk, two chairs for the customer, and a computer screen the customer cannot fully see. By the time your member sits down in that chair, the hard part of the sale, agreeing on the car and the price, is done. What happens next is where the real money is made, and where your loan, the one you approved this morning, goes to die.

I worked in those rooms. I am going to walk you through what happens inside one, step by step, because you cannot fix a problem you have only ever seen from the outside. The leak in your portfolio is not abstract. It has a script, a screen, and a compensation plan, and once you understand all three, the whole thing stops being mysterious.

The pre-approval lands on the desk

Your member walks in with your approval. Maybe they printed it. Maybe it's a number in their head: *my credit union already approved me at this rate*. The finance manager has seen ten thousand of these. The first thing they do is not argue with it. Arguing makes the cus-

tomers defensive. Instead they take the deal into their own system, run the credit application through the dealership's platform to the full menu of lenders, and see what comes back. Your rate is now one line on a screen the customer isn't looking at, sitting next to offers the finance manager understands far better than your member does.

Then comes the conversation, and the conversation is where it's won. The finance manager does not say *I'm going to switch you off your credit union*. They say something that sounds like help. *Let me see if I can beat that for you*. Or, more often, they don't mention rate at all. They shift the entire discussion from rate to payment, because payment is where they have room to work and where the customer's resistance is lowest.

The payment shell game

Here is the single most important thing to understand about the box, and most lenders never internalize it: the dealership does not sell loans, it sells *monthly payments*. Your member did not walk in wanting a 6.9 percent loan. They walked in wanting a car they can afford, which in their mind is a payment number. The finance manager lives in that gap. They can lengthen the term, fold in products, adjust the structure, and produce a monthly payment that feels fine to the customer while the financing underneath it is nothing like the clean approval you wrote.

Stretch a loan from sixty to seventy-two or eighty-four months and the payment drops, which gives room to raise the rate, add a backend product, and still land at a number the customer nods at. Your 6.9 over sixty becomes the captive's higher rate over eighty-four, with a service contract and gap insurance folded in, and the payment is within twenty dollars of what your member expected, so they sign. They have no idea they just paid more, financed longer, and left you entirely. They feel like they got a good deal because the payment matched the story in their head. This is the eighty-

four-month trap, and it is not an accident of the market. It is a tool, deployed on purpose, in that room, against the loan you approved.

Why the finance manager wants to flip you

Now the part that makes lenders uncomfortable, because it is about money and motive. A finance manager is typically compensated on the profit generated in the box, and that profit comes from two main places: the spread on the financing and the backend products. When they place a loan with a captive or a bank that pays dealer reserve, the dealership earns a piece of the rate, sometimes a meaningful piece. When they keep your member on your credit union loan, the dealership often earns little or nothing on the financing, because credit unions historically pay thin reserve or none at all and pride themselves on the clean low rate.

Put yourself in the finance manager's chair. One path pays the house, and you, real money. The other path pays almost nothing and exists only because the customer happened to walk in with a credit union approval. Which one are you motivated to steer toward? This is not about villains. It is about incentives, and the incentives in that room are pointed directly at moving your member off your loan and onto a loan that pays the dealership. You designed a product to be a clean, low-cost gift to your member, and in doing so you made it the least profitable option for the only person who controls which option the member actually takes.

The backend, where the rest disappears

Even when the loan stays put, the box has a second profit center that quietly competes with your member's financial health: the backend. Service contracts, gap coverage, paint and fabric protection, key replacement, tire-and-wheel. Some of these have real value. Many are marked up several times over and sold through a menu designed to make declining feel reckless. These products inflate the amount financed, and that amount gets rolled into the

loan. The member you approved for a thirty-thousand-dollar car drives off owing thirty-six, and the extra six thousand is pure box profit financed over seven years.

Why should you care if you didn't even keep the loan? Because this is what your member experiences in the moments after trusting you. They came to you for a fair deal and a rate they could be proud of, and twenty minutes later they were upsold in a closed room by someone working a script. The trust they placed in you got spent by someone else. And if the loan did stay with you, that inflated balance and stretched term is now *your* negative-equity risk, sitting in your portfolio, waiting to bite when they trade early or total the car.

The four-square, and why it isn't about the loan

If you want to understand the box, understand the worksheet at the center of it. On the sales floor it's the four-square: a sheet divided into four boxes, one each for the vehicle price, the trade value, the down payment, and the monthly payment. The salesperson works all four at once, and the customer's attention gets pulled wherever the seller wants it. Push on the trade, give a little on the price, adjust the down, and always, always bring it back to the payment. The customer thinks they're negotiating the deal. They're being walked through a process designed so that whatever they push on, the house stays ahead on the squares they're not watching.

By the time the customer reaches the finance office, they've already been trained, over the previous two hours, to think in monthly payments and to feel like they've been winning small battles. That training is what makes the financing flip so easy. The finance manager inherits a customer who's tired, emotionally committed to a specific car, proud of the concessions they think they won, and thinking entirely in payment terms. That's the ideal condition for replacing a clean credit union loan with a longer, higher-rate captive loan that lands on a familiar payment. The

box doesn't have to overpower your member. The floor already softened them up.

A flip in real time

Let me run one for you, the way it actually happens. Your member walks in pre-approved at 6.4 percent over sixty months on a thirty-thousand-dollar car. Their payment would be about five hundred eighty-five dollars. They're comfortable there; that's the number in their head.

The finance manager doesn't touch the rate out loud. Instead: "Good news, I think we can get your payment down for you." They quote the captive at 8.9 percent, two and a half points higher than your loan, but stretched to eighty-four months. That payment is around four hundred seventy-five dollars. The member hears a hundred and ten dollars a month *less* than they expected and feels like they won. Then the menu comes out: a service contract, gap coverage, a couple of protection products, another few thousand financed, nudging the payment back up toward five hundred forty. Still below the number in their head. They sign, relieved.

Tally it. Your member is now financed at a higher rate, for two extra years, on a larger balance, with a captive lender, and they walked out feeling like they got a deal because the payment came in under target. Your 6.4-over-sixty never had a chance, not because it wasn't the better loan, it plainly was, but because it was competing on rate in a room where the game is payment, run by someone paid to win it. That's the flip. It's not a trick exactly. It's a system, and it beats your approval almost every time it gets the chance.

None of this is the dealer being evil

I want to be careful here, because it's easy to read a chapter like this as an indictment of car dealers, and that's both unfair and unhelpful. Nothing in the finance office is the dealer being a villain. It's the dealer responding rationally to how the business is built. The

finance manager flips your member because flipping is how that role is compensated and measured. The four-square exists because it works. The captive offers reserve because reserve buys loyalty at the point of sale. Every player is doing exactly what their incentives tell them to do, competently and predictably.

That's actually the important insight, because villains you can shame and incentives you have to outmaneuver. You will not fix your leak by being indignant about the box, or by sending your members in with sterner warnings, or by hoping a friendly dealer chooses to honor your approval out of goodwill. The people in that room are not going to act against their own pay. The only thing that changes the outcome is changing the structure so that the financing decision isn't theirs to make in the first place. Don't moralize about the finance office. Engineer around it. The rest of this book is that engineering.

The hundred feet you don't control

Step back and look at what we've described. Your member did everything right. They came to you first, qualified, got approved, and walked into the dealership intending to use your loan. And in the span of one closed-door conversation, run by someone paid to redirect them, using a payment shell game your member can't see through, your loan was replaced by one that pays the house. You were never in the room. You had no voice, no presence, no ability to defend the relationship you spent years building. You handed your member to the box and hoped.

That is the hundred feet you do not control, and no amount of indirect aggression, rate-matching, or marketing spend fixes it, because all of those strategies still end with your member alone in that room. The only real fix is to make sure the deciding never happens in the box at all. To do that, the member has to arrive at the dealership with nothing left to decide, having already shopped, chosen, and locked their financing inside an experience you control,

where there is no finance manager paid to flip them and no menu designed to inflate the loan.

Before we build that, though, we have to deal with the thing you may have already tried and watched fail: the auto-buying service. Because the buying service was the industry's first attempt to get the member out of the box, and understanding precisely why it didn't work is the key to building something that does.

Why the Auto-Buying Service Didn't Save You

You have probably already tried to solve this. Most credit unions did, and the solution most of them reached for was some version of the auto-buying service: Autoland, a concierge program, a co-branded shopping site, a partner who would source the car and, in theory, keep the member in your orbit through the purchase. You signed up, you put a banner on the website, maybe you sent an email or two, and then you waited for it to fix the leak. It didn't. Adoption was thin, the loans still wandered off, and after a year or two the program became one of those things you technically offer and nobody talks about.

I want to be careful and fair here, because I spent years inside this category and I respect the people who built it. The auto-buying service was the right instinct. It was the first real attempt to get the member out of the dealer's box and back under the credit union's wing. It failed not because the people were wrong but because the *structure* was wrong for the problem, and the structural reasons are worth laying out one by one, because every one of them is a design requirement for what comes next.

Reason one: almost nobody uses it

The first and most fatal problem is adoption. A buying service that sits as a link in your online banking menu, or a phone number a member can call to have someone shop for them, gets used by a tiny fraction of the members who buy a car each year. People who are about to spend thirty or forty thousand dollars do not go digging through their banking app's menu for a service they've never heard of. They go to the places they already know: the search engine, the big car-shopping sites, the dealership down the road. Your buying service was competing for attention against the most heavily marketed retail category in America, with a banner ad and a hope.

Low penetration is not a marketing problem you can email your way out of. It is structural. The buying service was built as a side feature, a thing you *offer*, rather than the default path a member travels when they decide to buy a car. Anything that is opt-in, unfamiliar, and buried will lose to anything that is where the member already is. If only three or four percent of your car-buying members ever touch the service, it cannot move your funded numbers no matter how good the experience is for those few.

Reason two: it still ends at a dealer's desk

Here is the part that quietly defeats even the buying services that do get used. Trace the member's journey to the end. The concierge finds the car, negotiates a price, and then...sends the member to a dealership to take delivery and sign. And where do they sign? In the box. With the finance manager. Who runs the same payment shell game on a member who now feels even more committed because they've already fallen in love with a specific car that's waiting for them.

The buying service got the member a better price on the vehicle, which is genuinely useful, but it did nothing to change the structure of the financing moment. The member still arrives at a

dealer-controlled finance office, still gets the menu, still gets the term-stretch and the backend pitch, and still gets flipped to the captive at the same rate they always did. The service that was supposed to protect your loan handed the member right back to the room that takes it. You can negotiate the price all you want; if the financing still gets decided in the box, the loan still leaks.

Reason three: it's slow, manual, and doesn't scale

The concierge model is human-powered by design. A buyer takes the member's request, works the phones, finds vehicles, haggles with dealers, and reports back. That is labor, and labor is slow and expensive and hard to scale. The member who wants to see options tonight gets them in a day or two. The member who wants to move on a Saturday afternoon waits until Monday. Meanwhile the dealership offers instant gratification: the car is right there, you can drive it home today. Against *today*, a two-day concierge turnaround loses every time.

Because it's manual, it also can't grow without growing headcount. Every additional member served requires more of a buyer's hours. That ceiling is why these programs stay small even when they work; nobody can afford to staff a concierge operation big enough to serve every car-buying member, so the service is rationed by its own labor model to the trickle of members who seek it out. The economics cap the impact before it can ever reach the scale that would move your portfolio.

Reason four: it was never about retention

Step back and ask what the buying service was actually optimized for, and the answer is the member's *purchase experience*, getting a fair price without the haggle, not the credit union's *loan retention*. Those are related but not the same, and the difference is the whole game. A program designed to get the member a good price on a car can succeed at that and still let the loan leak, because price and fi-

nancing are two different decisions made at two different moments, and the buying service only ever influenced the first one.

Retention requires owning the financing moment, not just the shopping moment. It requires the member to lock their loan inside your environment, before any finance manager gets a chance to re-litigate it, and it requires the deal to be structured so that no one downstream is paid to undo it. The buying service never touched any of that. It improved the front of the journey and left the back of the journey, the part where your loan lives or dies, exactly as exposed as it always was.

Reason five: limited inventory, dealer-first plumbing

Many buying services also ran on thin or dealer-dependent inventory. The member couldn't browse the full universe of vehicles the way they could on the big shopping sites; they got a curated set, or they got handed off to whatever dealers were in the program. From the member's point of view, the experience was narrower and less satisfying than the open web they were used to. So even members who tried it often bounced back to the familiar sites and the familiar dealership, because the buying service asked them to accept less selection in exchange for a benefit they didn't fully understand.

The view from inside

I'll tell you what running one of these felt like from the inside, because the numbers don't capture it. We had a good service. The buyers were sharp, they genuinely got members better prices, and the members who used it were happy. The problem was never the quality of the work. The problem was that the whole thing was a rounding error against the river of members buying cars every month and never touching us.

I'd look at the monthly report and see a few dozen members served well out of thousands who bought a car. We'd celebrate a great save, a member who got a fantastic price through the

concierge, and then I'd remember that for every one of those, dozens of others got approved by us and vanished into a dealership we never saw. We were doing excellent work on a stage too small to matter. And the members we did serve still went to a dealer to sign, so even our wins were exposed to the flip on the way out. It was like bailing a boat with a teacup while the real hole stayed wide open below the waterline.

That experience is the reason I'm so insistent on the structural points in this book. It's not that buying services were run by the wrong people. I was one of those people, and we were good at it. It's that the structure rationed us to a trickle, sent our trickle to the box anyway, and called it a member benefit. You can't out-hustle a broken structure. I tried.

The same five failures, in any new clothing

Be on guard, because the buying service keeps coming back wearing newer outfits. A slick co-branded shopping site. A "digital car-buying" partner. A lead-gen widget bolted onto online banking. Before you sign anything that promises to fix your auto leak, run it against the same five failures and see how many it actually solves.

Is it the *default* path your members travel, or another buried option competing with the open web for attention? Does it keep the member inside your financing all the way through, or does it still end at a dealer's finance office? Is it instant and automated, or does it secretly run on human hours that cap its scale? Is it built to make you retain the loan, or just to get the member a price? And does it give the member more selection than they'd find on their own, or less? A repackaged buying service will fail two or three of these no matter how modern the interface looks. The point isn't the interface. It was never the interface. It's the structure underneath, and most "solutions" in this category leave the structure exactly as broken as it always was.

Why the member never picked up the phone

Step out of the boardroom for a second and stand where the member stood, because the buying service's failure makes the most sense from there. Picture a member who's decided to buy a car this weekend. They're excited, a little anxious, and they want it handled. Somewhere in the back of their mind is a vague memory that their credit union "has some car-buying thing." What do they do?

They don't go find it. They open the same car sites everyone uses, the ones with millions of listings and slick apps and a dealer ready to text back in ninety seconds. The credit union's buying service, if they even remember it exists, means calling a number during business hours, explaining what they want to a person, and waiting for that person to go do some work and call them back. Against an app that shows them ten thousand trucks right now, the concierge line never had a chance. It wasn't that members rejected the service. They never got far enough to reject it. It simply wasn't in the path their hand naturally took, and a benefit that isn't in the path may as well not exist.

And the few who did call ran into the second wall: the service helped them find and price a car, and then, at the moment of truth, sent them to a dealership to actually do the deal. So even the motivated member who used the benefit ended up in the same finance office as everyone else, exposed to the same flip, signing whatever the box placed in front of them. The member's experience of the buying service, even when it worked, was "a helpful first step that still ended where every car deal ends." That's not a benefit people rave about to their friends. It's a mildly useful errand that didn't change the outcome.

This is the part that should sting, because it's so avoidable. The member *wanted* help. They'd have loved for their trusted credit union to make the worst purchase in their life easy. The demand was real and the trust was already there. The buying service just

answered that demand with something slower, narrower, and more effortful than the open web, and then handed the member back to the dealer at the end anyway. We had the member's goodwill and we met it with friction. Any honest autopsy of the buying service ends in the same place: it lost not because members didn't want what it promised, but because it made wanting it cost more than the alternative, and then didn't even protect the loan once they did.

Hold onto that, because it's the exact bar the next chapters have to clear. Whatever replaces the buying service has to be *easier* than the open web, not harder. It has to be the path the member's hand takes naturally, not a number they have to remember to call. And it has to hold the financing all the way through, not deposit the member back in the box at the finish. Miss any one of those and you've rebuilt the buying service with a nicer logo.

The lesson buried in the failure

It would be easy to read all this as *buying services are bad*, but that is the wrong lesson and it will cost you the right one. The buying service failed for five specific, fixable reasons: it wasn't where the member already was, it still ended in the dealer's box, it was too slow and manual to scale, it optimized for the purchase instead of the loan, and it offered less than the open web. Flip each of those into a requirement and you have the blueprint for what actually works.

What actually works has to be the *default* path, not a buried option, so it captures real volume. It has to keep the member inside your brand all the way through the financing, so the box never gets a shot at the loan. It has to be instant and automated, so it beats *today*. It has to be built around keeping the loan for its whole life, not just getting a good price once. And it has to offer more selection than the member could find on their own, not less. Build something that satisfies all five and you don't have a better buying service. You

have a different thing entirely, one where retention is the point and the loan you approve is the loan you keep. The rest of this book builds it, starting with the idea that ties it all together: retention isn't a feature of auto lending. Retention is the entire business.

Retention Is the Whole Business

Ask a lending team what their job is and most will say some version of *originate good loans*. That answer is the quiet root of the whole problem. We have built our departments, our reporting, our incentives, and our entire mental model around origination, the act of making a new loan, as if the work ends the moment the loan funds. It doesn't. For auto lending specifically, origination is the cheap part and retention is where the money actually lives. We have been measuring and managing the wrong half of the business.

Let me make the case plainly, because once you see auto lending as a retention business rather than an origination business, every decision in the rest of this book becomes obvious.

The math nobody runs

Originating an auto loan is expensive. You pay to market for the application, you pay to underwrite it, you pay the operational cost of funding it, and if it came through the indirect channel you paid a dealer reserve and a platform fee on top. A freshly originated auto loan has, in effect, already spent a chunk of its lifetime profit just getting onto your books. The money in that loan is made over the

following years, payment by payment, as the member carries it to term.

Now watch what the leak does to that math. If a member refinances away, pays off early to buy another car financed elsewhere, or trades in and lets a different lender write the next note, you lose all the back-half profit, the part that was supposed to pay you back for the expensive origination. You did the costly work of acquisition and handed the cheap, profitable years to someone else. A retained loan that runs to term, and a member who finances their *next* car with you too, is worth a multiple of a loan you originate and then lose. Yet almost every credit union spends nearly all of its auto energy and budget on origination and almost none on retention. We pour money into the expensive half and neglect the profitable half.

Three places loans leak, three places to win

Retention in auto lending happens at three distinct moments, and each one is a place you are probably losing loans today.

The first is **capture**: the moment of the original purchase, where the loan you approved either funds with you or leaks in the box. This is the leak we've spent the first half of the book on, and it is the largest single source of lost loans, because it is the moment with the most adversaries: the dealership, the captive, the finance manager, all pulling against you in a room you don't control.

The second is **defense**: the life of the loan, where a refinance offer from a bank, a fintech, or another credit union can pull the member away mid-term. Members get a slick mailer or an app notification offering to lower their payment, and if you have no relationship and no early warning, they're gone before you know to fight for them. Loans that you captured cleanly can still leak out the side if you treat funding as the finish line.

The third is **recapture**: the moment the loan ends, through pay-off, trade, or the purchase of the next vehicle. This is the most overlooked of the three and arguably the most valuable, because a mem-

ber who just paid off a car with you is the warmest auto-lending prospect on earth, and most credit unions do absolutely nothing to be the first call when that member buys again. The loan ends, the relationship goes quiet, and the next car gets financed by whoever's in front of them at the dealership.

Win all three and you don't just plug the leak, you compound. Each retained loan funds the next, each satisfied buyer comes back for the next car, and the cost of that recurring business is a fraction of the cost of constantly acquiring strangers.

Retention changes what you build

Here's why this reframe matters so much in practice: if you believe origination is the job, you build for origination. You buy more marketing, sharpen rates, push application volume, maybe charge back into indirect. All of that pours members into the top of a funnel that leaks at the bottom. You're filling a bucket with a hole in it and measuring your success by how fast you can pour.

If you believe retention is the job, you build something completely different. You build a path that keeps the member inside your brand through the financing moment so capture doesn't fail in the box. You build the relationship and the data and the early-warning system that lets you defend the loan mid-life. And you build the habit, the automation, the presence that makes you the first call when the member buys their next car, so recapture happens by default instead of by luck. The retention lens doesn't just add a few tactics. It redesigns the whole operation around keeping loans instead of constantly replacing them.

The member relationship is the real asset

There's a deeper point underneath the loan math, and it's the one that should matter most to a credit union specifically. The auto loan is, for a huge share of your members, the keystone of the entire relationship. It's the biggest balance, the longest commitment, and

the most regular touchpoint you have with them. Members who finance their car with you behave like primary-relationship members: they keep the checking account active, they add products, they stay. Members whose car loan lives somewhere else are one good offer away from moving the rest of their financial life there too.

So when a loan leaks, you're not just losing interest income. You're loosening the keystone. The captive or the bank that now holds your member's car loan has a multi-year reason to talk to them, to earn the next car, to become the institution they think of first. Every leaked auto loan is a crack in the primary relationship, and primary relationships are the entire reason a credit union exists. Retention isn't a lending metric. It's a franchise-survival metric.

Putting numbers on it

Executives move on math, so let me give you a clean, conservative version you can adapt to your own book.

Take a single retained auto loan: thirty thousand dollars, sixty months, at a net interest margin you can defend after cost of funds and expected losses. Over its life it produces a few thousand dollars of net income, call it a number in the low thousands, and it does so cheaply, because you already paid the acquisition cost up front. Now compare three members. Member A finances with you and runs the loan to term: you keep the whole back-half income. Member B finances with you but refinances away at month eighteen: you keep a sliver and eat most of the acquisition cost for nothing. Member C gets flipped in the box and never funds at all: you spent the marketing and underwriting and got zero.

Most credit unions obsess over making more Member A's by pouring money into the top of the funnel, while quietly tolerating a portfolio full of B's and C's. But you don't need more A's nearly as much as you need to stop creating B's and C's, because every

B and C already cost you the expensive part. Plugging the leak is cheaper than pouring faster, and it compounds, because a retained member becomes the easiest auto loan you'll ever write again: the next car.

The next car is the cheapest loan you'll ever make

Here's the retention insight that should reorganize your whole auto strategy. A member who financed their last car with you, had a clean and easy experience, and is now back in market is the lowest-cost, highest-probability auto loan available to you anywhere. No marketing required to find them, you already know them. No trust to build, you already earned it. No competition for the relationship, if you're present at the right moment. That loan should be nearly free to originate and nearly automatic to win.

And yet most credit unions do nothing to capture it. The loan pays off, the relationship goes quiet, and twenty months later the member buys another car at a dealership and finances it with whoever's in front of them, because you weren't. You let your warmest, cheapest, most loyal auto prospect wander back into the box as if they were a stranger. Recapture isn't a nice extra. It's the single highest-return activity in auto lending, and it's the one almost nobody runs, because it requires staying present across years in a way that, until very recently, took more labor than it was worth. That constraint is gone now, which is why this whole strategy is suddenly possible.

The three plays, in the language of an operator

Capture, defense, recapture sound like strategy-deck words, so let me put them in the language of someone who actually has to run them on a Tuesday, because that's where they live or die.

The *capture* play is everything that happens between a member deciding to buy a car and the loan funding. Run well, it looks like this: the member gets approved, lands inside an experience you

control, picks a vehicle, locks the financing with you, and takes delivery from a dealer who can't touch the loan, all inside a week. The whole play is about compressing that window and keeping the member on your path through every step of it, because every extra day and every detour to an outside site is a door the box can walk through. Capture is won by speed and by control of the path, not by rate.

The *defense* play is everything that happens after the loan funds and before it pays off. The threat here isn't the dealer; it's the re-finance offer, the mailer, the app, the rate-shopping pull from a lender who wants to poach a performing loan off your books. Defense is won by two things: seeing the threat early, which means watching for the signals that a member is shopping their loan, and having a relationship real enough that the member picks up the phone when you call. Most credit unions play no defense at all. The loan funds, the file goes quiet, and the first time anyone notices the member is gone is when the payoff hits. Defense is the cheapest portfolio income there is, because the loan is already yours; you're just not letting someone steal it.

The *recapture* play is the next car. A member who financed their last car with you and had a clean experience is, when they re-enter the market, the single best auto prospect you will ever have. Recapture is won by being present, automatically, at the moment that member starts shopping again, eighteen or thirty or forty months later, so you're the first call instead of an afterthought they remember on the drive home from the dealership. Run badly, recapture doesn't exist; the loan pays off and the relationship goes dark. Run well, it's nearly free money, because you already paid to acquire this member once and you're simply refusing to lose them at the natural moment of churn.

Here's the part that ties the chapter together. These are three different plays, but they are not three different *systems*. The same engine that captures, by staying on the member through the buying window, is the engine that defends, by watching the portfolio for re-

finance signals, and the engine that recaptures, by staying present until the member is back in market. You don't staff three teams. You run one engine that never stops paying attention, across the entire life of the relationship, for every member at once. Which is exactly the thing that used to be impossible, and is the reason the back half of this book exists.

What retention requires

If retention is the whole business, the requirements fall out cleanly, and they map exactly onto the failures of the buying service from the last chapter. To win capture, you need to own the financing moment, which means keeping the member inside an experience you control and structuring the deal so it can't be flipped. To win defense, you need a real relationship and the data to see threats coming, plus the speed to respond before the member acts. To win recapture, you need to stay present across the whole life of the loan and be ready, automatically, the moment the member is in market again.

Notice that all three requirements point in the same direction: toward making your credit union the easy, obvious, frictionless place to do every part of the car transaction, from shopping to financing to the next car, so the member never has a reason to wander into someone else's funnel. That is the subject of the next two chapters. First, how to make yourself the easy first choice, the place the member naturally starts and never needs to leave. Then, why better service, real service, not a slogan, is the moat that keeps them there. Retention is the business. Ease and service are how you win it.

Make It Easy to Do Business With You First

HERE is a truth that should be liberating and is instead, for most credit unions, a missed opportunity sitting in plain sight: your members *want* to do business with you first. They already do. They come to you for the pre-approval before they shop. The trust is there, the intent is there, the first move is yours. You are not fighting to be chosen. You are chosen, and then you make it hard, and someone easier wins the rest.

The whole strategy of this book comes down to a single principle. Be the easiest possible place for the member to do every part of the car transaction, so easy that leaving your environment to finish it somewhere else would feel like a downgrade. Right now you are easy to *start* with and impossible to *finish* with, because after the approval you go quiet and the member has no choice but to walk into the dealership to actually get a car. You handed them a key and no door. Let's build the door.

Ease is a strategy, not a courtesy

In retail, the easiest path wins. Not the cheapest, not the best, the easiest. The member buying a car is making one of the largest purchases of their year while busy, distracted, and a little anxious, and

they will gravitate to whatever removes the most friction at each step. The dealership wins not because it offers the best financing, it almost never does, but because it offers the most complete one-stop experience: the car, the test drive, the trade, the paperwork, the keys, all in one afternoon. It is the easy button, and your clean low rate, sitting in an email, cannot compete with an easy button.

So the question is not *how do we get the member to choose us*, you've already won that, it's *how do we make finishing with us easier than leaving us*. And that means giving the member, inside your brand, the same one-stop completeness the dealership offers, minus the box. Shop, compare, choose, finance, done, without ever entering a room where someone is paid to flip them.

The journey, redesigned

Picture the path you actually want your member on, and notice how few steps it has.

Step one: pre-approved with you. The member applies and gets approved at your rate, on your underwriting, exactly as they do today. Nothing new here, except that the approval is now the *beginning* of an experience instead of a loose end. Your rate is locked. Your brand is in their hand.

Step two: they shop your marketplace. Instead of sending the approved member out into the open web and the dealer lots, you give them a vehicle marketplace inside your own branded environment. Thousands of cars, real selection, more than any old concierge program offered, browsable on their phone tonight, with their pre-approval already attached so they always see what each car means in real terms: their rate, their payment, their loan. They never leave your brand to shop. There is no handoff to a dealer-first site, no banner ad to someone else's funnel. The shopping happens in your house.

Step three: the dealer delivers, you fund. When the member picks a car, the transaction is structured so the dealer's job is to

deliver the vehicle, nothing more. The financing is already locked with you. There is no finance office relitigating the loan, no menu, no term-stretch, no flip, because the structure doesn't allow it. The dealer hands over the keys. You fund the loan you approved. The member drives away financed with the institution they trusted from the start.

Three steps. One brand. Every loan. The member gets the one-stop ease of the dealership with none of the box, and you get the loan you approved actually funding, because at no point did the member step into an environment built to take it from you.

Speed is the feature

The old concierge model lost to *today*. A marketplace built right wins on *tonight* and *this week*. When the member can browse real inventory the moment the urge strikes, with their financing already attached, and move toward delivery in days rather than waiting on a buyer to work the phones, you've matched the dealership's instant gratification while keeping the member inside your walls.

I've watched a pipeline run on this model, and the number that stuck with me was the average time from approval to funding: a little over seven days. Seven days, start to finish, with the loan landing where it was approved. Compare that to the indirect world, where the member's approval evaporates in an afternoon, or the concierge world, where seven days is how long it took just to get a few quotes back. Speed isn't a nice-to-have wrapped around the experience. Speed *is* the experience, and it's the thing that lets you beat the dealership's biggest advantage without becoming a dealership.

What “easy” actually removes

It's worth being concrete about the friction you're eliminating, because each piece of friction you remove is a reason the member used to need someone else.

You remove the trip to the lot to see what's out there, because the inventory is in their hand. You remove the negotiation anxiety, because the price and the financing are clear and fixed inside your environment. You remove the finance office, because the loan is already locked. You remove the second-guessing, because they're never shown a competing offer designed to make them doubt you. You remove the gap between approval and car, the gap where, today, your member has no choice but to wander off and get flipped. Every one of those removals is a place the loan used to leak, sealed shut by making your path the easy one.

This is the opposite of indirect lending

Let me be precise about what we've just described, because it is easy to mistake it for a slicker version of something you already do, and it is not. Indirect lending puts the dealer at the center: the member walks into dealer-controlled finance, the dealer can flip them to a captive, and you fund the marketing while someone else takes the loan. What we've described puts the *credit union* at the center: the member shops your branded marketplace, the dealers in the network cannot offer alternative financing, and every approved loan stays with you. Same member, same car, opposite structure. One has you funding the marketing and losing the loan. The other has you owning the journey end to end.

It is not indirect lending with a nicer interface. It is the structural inverse of indirect lending, and the difference is the entire point. You stop renting a row on the dealer's screen and start owning the road the member travels.

What the pipeline actually looks like

Let me show you the shape of a marketplace pipeline running on this model, because the numbers make the abstraction concrete. In one pipeline I've watched, the funnel ran roughly like this: a couple hundred loans created, the large majority approved, most of those

members logging in to shop, well over half saving specific vehicles, a strong share reaching dealer engagement, and a steady flow converting to purchase orders and funding. Active loans in the dozens, funded volume in the low millions, and that average time-to-fund a little over seven days.

What matters isn't any single figure; it's the *shape*. In the indirect world, the funnel collapses at the end: approvals go in, and a chunk simply never come out as funded loans, because they leaked in the box. In a marketplace you control, the funnel holds its shape all the way down, because there's no box to leak into. Created flows to approved flows to shopping flows to engaged flows to funded, with far less loss at each stage, because the member never leaves your environment to get picked off. You can see the whole journey, every member, every stage, in one place, which is something indirect lending never let you do. The pipeline isn't just a sales tool. It's the first time you can actually watch your auto loans survive instead of finding out at month-end that they didn't.

“But members want to see and touch the car”

The honest objection to all of this is physical. People want to test-drive, kick the tires, smell the new-car smell. Doesn't a digital-first journey lose to that?

No, and here's why. Nothing in this model removes the test drive or the physical car. The member still goes to a dealer and drives the vehicle; the dealer still delivers it. What changes is the *sequence and the control*. The member shops and narrows and locks financing in your environment first, on their own time, with no pressure, and only then goes to experience and take delivery of a specific car, with the financing already settled. They get every physical thing they wanted and skip every adversarial thing they didn't. You're not asking the member to buy a car sight unseen. You're asking them to do the parts that don't require a showroom, comparing, choosing, financing, in a place that's actually on their

side, and then go enjoy the part that does. That's not less than the dealership experience. It's the dealership experience with the worst hour removed.

A week in the easy path, start to finish

Abstractions don't persuade lending committees, so let me walk one member through the easy path the way it actually runs, hour by hour, and you can compare it to what happens to that same member today.

It's a Saturday morning. A member, call him James, decides it's time to replace his truck. Today, James opens a car-shopping site, browses for an hour, gets three dealers texting him within minutes, and by afternoon he's on a lot, in the box, getting four-squared, and by evening he's financed through whoever the finance manager placed him with. Total elapsed time from decision to financed-elsewhere: about eight hours. Your credit union never enters the story, even if James is a twenty-year member, because you weren't in front of him during the only window that mattered.

Now run James through the path this book describes. Saturday morning he opens his credit union's app, because he already knows that's where the car-buying lives, and gets pre-approved in a couple of minutes. He's not handed a printout to carry into hostile territory; he's dropped straight into a branded marketplace where he can actually shop. He browses real inventory, the full universe, not a thin curated list, saves three trucks, and goes about his weekend. Over the next few days, on his own time and with zero pressure, he narrows it down, gets his questions answered, and locks his financing, your financing, at the rate he was approved for. By midweek he has a confirmed appointment at a network dealer to see and drive the specific truck he chose. He shows up, drives it, likes it, and takes delivery, with the financing already settled before he ever arrived. The dealer's job was to hand him the keys, not

to re-sell him a loan. Total elapsed time from decision to funded-with-you: about a week, most of it James moving at his own pace.

Look at what changed and what didn't. James still drove the truck. He still went to a dealership. He still got the physical car and the test drive and the new-truck smell. What he skipped was the haggle, the four-square, the two hours in the box, and the financing bait-and-switch, the entire catalog of things people hate about buying a car. And what *you* got was the loan you approved becoming the loan you funded, plus a member who just had the best car-buying experience of his life inside your brand, which is the setup for the next car and the defense of this one.

That's the whole pitch for ease, in one member's week. It isn't a technology story or a marketing story. It's a sequencing story. You got to James first, you kept him on a path you controlled, you made every step easier than the alternative, and you settled the financing before anyone else got a turn. Same member, same truck, same dealer even. The only thing that changed was who controlled the path, and that one change moved the loan from a captive in Tokyo to your balance sheet. Multiply James by every car-buying member you have, and you can see the size of what's sitting in plain view.

Easy first, then easy always

Making yourself the easy first choice closes the capture leak, the big one in the box. But ease is also how you win the other two retention moments. A member who bought their last car through your marketplace, in three frictionless steps, in a week, is the member who comes back to that same easy path for the next car instead of drifting to a dealer. And a member living inside your branded auto experience is a member you can stay present with across the life of the loan, ready to defend it the moment a refinance offer shows up. Ease compounds. The first easy transaction earns the second, and the second earns the relationship.

But ease alone isn't the whole moat. Plenty of companies are easy and still get beaten by someone the customer trusts more. The deepest, most durable advantage a credit union has in this fight isn't speed or selection, though you need both. It's something the captive in the box can never offer and the bank's algorithm can never fake: genuinely better service, delivered by an institution the member actually trusts. That's the moat, and it's the subject of the next chapter.

Better Service Is the Strategy, Not the Slogan

EVERY credit union in America says it offers better service. It's on the lobby wall, in the brand promise, in the annual report. And for the most part it's even true, in the branch, at the teller line, over the phone when a member has a problem. But in the one transaction that matters most to your auto portfolio, the car purchase, that better service evaporates the moment the member leaves your website, and the member experiences not your service but the dealership's. The slogan and the reality part ways at exactly the point where it counts.

Better service can't just be a value you hold. It has to be a thing the member *experiences* at the moment of buying a car, or it's marketing. This chapter is about making service real where it currently isn't: turning the trust members already place in you into an experience so clearly better than the dealership's that staying with you is the obvious choice and leaving feels like a mistake.

What the member actually feels at the dealership

Start with the emotional truth of the current experience, because service is felt before it's analyzed. Your member comes to you first because they trust you. They get approved, they feel good, they

feel taken care of. Then they walk into the dealership, and within an hour they're in a negotiation they didn't want, being worked by a process designed to extract maximum profit, sitting in a closed room while someone runs a payment script on them. They leave with a car, but they also leave a little used, a little suspicious, a little sure they overpaid. The trust they brought to you got spent somewhere that doesn't deserve it.

That gap, between how your member feels when they're with you and how they feel an hour later in the box, is the single biggest service opportunity you have and the one you currently do nothing with. You earned the trust. The dealership cashes it in. Better service means closing that gap by never letting the member into the room where the trust gets spent.

Service as the absence of the box

The most powerful service you can offer a car buyer in 2026 is not a friendly voice or a free car wash. It's the removal of the adversarial experience entirely. No haggling. No closed-room financing. No menu designed to make declining feel reckless. No payment shell game. No leaving the dealership wondering what just happened to you. When the member shops and finances inside your branded environment, the entire adversarial apparatus of the dealership simply isn't there. That absence *is* the service, and it's a kind of service no captive lender and no dealership can ever offer, because their profit depends on the very thing you're removing.

Think about what you're actually giving the member: a way to buy a car without being sold to. For most people that's not a feature, it's a revelation. The car-buying process is one of the most disliked retail experiences in American life, and you are uniquely positioned to be the institution that makes it stop being awful, because you're the one party in the transaction whose interests are genuinely aligned with the member's. You make money when they get a good loan and keep it. The dealership makes money when

they pay more. That alignment is your unfair advantage, and better service is just the act of finally using it.

Trust is the moat the captive can't cross

A bank can match your rate. A fintech can build a slick app. A captive can buy down financing below anything your balance sheet allows. None of them can manufacture what you already have: a member who trusts you, who chose you first, who thinks of you as theirs. Trust is the one asset in this entire fight that can't be bought or bolted on, and it's the asset credit unions have in abundance and use the least.

The strategy, then, is not to build trust, you have it, but to *honor* it where you currently squander it. Every time a member comes to you first and then gets handed to the dealership, you're squandering the trust they gave you. Every time you keep them inside an experience that's genuinely on their side, you're honoring it, and honored trust deepens into loyalty, and loyalty is what retention is made of. The captive in the box is playing a one-transaction game. You're the only one positioned to play a lifetime game, and trust is the board you get to play it on.

What “better” looks like, step by step

Let's get specific, because better service that can't be described concretely is just a feeling. Across the journey, better looks like this.

When the member is shopping, better service means real selection with total transparency: every car shown with its actual rate and payment based on *their* approval, no games, no teaser numbers, no surprises waiting in a back office. The member always knows exactly what they're looking at and exactly what it costs them.

When the member is choosing, better service means no pressure and no adversary. They decide on their own time, on their own phone, without a salesperson hovering or a four-square worksheet being slid across a desk. The experience is theirs to control.

When the member is financing, better service means the loan they were approved for is the loan they get, full stop. No relitigating, no flip, no stretch, no menu. The number they trusted is the number that funds.

And after the sale, better service means you don't disappear. You stay present, you're there for the questions, you're the one who reaches out before the next car instead of going silent until a statement arrives. The relationship continues past funding, which is the one thing the dealership and the captive will never do, because to them the member was a transaction and to you the member is a member.

The most hated hour in retail, and your opening

Survey after survey lands on the same finding: buying a car is one of the experiences Americans dread most. People rank the dealership finance-and-haggle gauntlet alongside the least pleasant errands in their lives. They go in braced for a fight, they leave drained and suspicious, and a remarkable number say they'd pay extra to never set foot in a finance office again. That dread is not a marketing problem for the industry to spin away. It's the single biggest opening any aligned institution has ever been handed.

Because here's the thing about a universally hated experience: whoever fixes it earns disproportionate loyalty. The member who buys a car through you and realizes, halfway through, that there's no haggle coming, no closed-room pitch, no payment trick, just a fair price, their locked rate, and a clear path to the keys, does not forget that feeling. It's the difference between a transaction and a conversion. You didn't just finance their car. You rescued them from the one purchase they hate, and people are intensely loyal to whoever rescues them from something they hate. The dealership can't offer that rescue, because the thing the member hates is how the dealership makes its money. You can, because the thing the member hates is the exact thing your interests let you remove.

Aligned incentives are the whole story

Strip everything else away and the reason a credit union can win on service comes down to one structural fact: you are the only party in the car transaction whose money is made by the member getting a *good* deal and keeping it. The dealer profits when the member pays more. The captive profits from the spread and the term. The finance manager profits from the flip and the menu. Every other party at the table makes more when the member does worse. You're the lone exception, and that exception is not a marketing slogan, it's your balance sheet. You make money on a sound loan that performs and a member who comes back. Your interests and your member's interests genuinely point the same direction.

That alignment is the deepest moat in this entire book, deeper than speed, deeper than selection, deeper than technology, because it cannot be copied by anyone whose business model depends on the member overpaying. A dealership can imitate your interface. It cannot imitate your incentives. Better service, in the end, isn't a thing you bolt on. It's what naturally happens when the institution serving the member actually wins by serving them well, and then builds an experience honest enough to let that alignment show. You already have the alignment. The work is just to stop hiding it behind a process that hands your member to people who don't share it.

The service that happens after the keys

Here's where almost everyone's idea of "service" stops too early. We tend to think of service as the buying experience, the friendliness, the transparency, the no-haggle price. That's real and it matters, but it's only the first half. The deeper service, the kind that actually builds the lifetime relationship this whole book is about, is what you do for the member *after* they have the keys, across the years they're paying off the loan.

Think about how the rest of the industry treats a member once the deal is funded. The dealer is done with them until the lease is up. The captive lender sends a coupon book and goes silent. The member, who just made a major financial decision, is on their own with it. And this is precisely the window where service can mean something and almost no one shows up: the member who's now eighteen months in and underwater because they bought too much truck, the member whose situation changed and who's quietly drowning in an 84-month note, the member who's getting refinance mailers and doesn't know whether to trust them, the member whose car got totaled and who has no idea what happens next. Every one of those is a moment where a trusted institution could genuinely help, and the dealer and the captive are structurally incapable of caring, because they already got paid.

You're not. Your money is made over the life of a sound loan and a member who stays, which means your interests keep pointing at the member long after the keys change hands. That alignment doesn't expire at funding; it's the reason you're the natural party to provide the after-sale service no one else will. Watching for the member who's heading toward trouble and reaching out before it's a delinquency. Being the honest answer when a refinance offer lands, even when the honest answer occasionally costs you. Being present and ready when the member's life changes and they need a different car. This is service as a multi-year relationship, not a single transaction, and it happens to be identical to the retention plays from earlier in the book. Defense and recapture aren't separate from service. They *are* service, the after-the-keys kind, and they're worth real money precisely because they're built on a trust the member's other options can't manufacture.

That's the whole reason "better service" is a strategy and not a slogan. A slogan ends at the sale. A strategy compounds after it. The credit union that stays genuinely useful to a member across the entire life of a car loan, and then the next one, has built something a dealership's smile and a captive's coupon book can never touch:

a relationship the member actively doesn't want to leave. The trust got them in the door. The after-the-keys service is what keeps them, and keeping them, as we've said from the start, is the whole business.

Service that scales

Here's the objection I always hear at this point: *better service sounds expensive*. The old way of delivering great service, more people, more hand-holding, more concierge hours, was expensive, and that's exactly why the buying service couldn't scale. But the better service we've just described isn't primarily about adding people. It's about removing a bad experience and replacing it with a clean, automated, transparent one. The selection, the transparent pricing, the locked financing, the no-pressure shopping, the staying-present-after-the-sale, all of that can be built into the experience and delivered at scale, to every car-buying member, not just the trickle who found the concierge line.

That's the part that's genuinely new, and it's why this strategy is possible now in a way it wasn't ten years ago. Delivering trustworthy, transparent, frictionless service to every single member who buys a car used to require an army. It doesn't anymore. The engine that makes lifetime, scaled, better service economically possible, that makes a small lending team capable of staying present with every member across the whole life of every loan, is artificial intelligence. And that engine, finally, is the subject of the next chapter.

The No-Flip Structure

EVERYTHING we've built so far, the easy marketplace, the better service, the trust, depends on one structural element that does the real work. The member can shop in your brand and feel taken care of, but if at the final moment they still end up in a finance office that can flip them, the loan still leaks. The piece that makes the whole thing hold is the part dealers can't undo: a structure in which the dealers in your network simply cannot offer the member alternative financing. No flip. The chapter is short because the idea is simple, but it's the keystone, and without it the rest is decoration.

The problem restated in one sentence

Every strategy that fails to fix the leak fails for the same reason: it lets the member end up in front of someone who is paid to replace your loan. Indirect lending does it. The buying service did it. Even a beautiful branded marketplace would do it, if the member still had to finish the deal in a dealer's finance office. As long as the box gets a turn at bat, the box will hit. The only durable fix is to take the box out of the game, not to hope the member resists it.

How no-flip works

In the structure I'm describing, the dealer's role is deliberately and contractually narrowed. The member arrives pre-approved and locked, having chosen the vehicle inside your marketplace. The dealer's job is to deliver that specific car. The dealer does not run the member through a finance menu, does not present competing offers, does not get a shot at flipping the financing to a captive, because the agreement that put them in your network bars exactly that. The financing was decided before the member ever reached them, and it stays decided.

This is the inversion that makes everything else real. In the indirect world, the dealer controls financing and you're one option among many on their screen. In the no-flip world, you control financing and the dealer is one delivery point among many in your network. The flip can't happen, not because the finance manager chose to be nice, but because the structure doesn't permit it. You stopped relying on goodwill in a room full of opposing incentives and started relying on the only thing that holds: the rules of the deal itself.

Why dealers say yes

The reasonable objection is: why would any dealer agree to give up the F&I flip, which is where they make real money? The answer is that you're offering them something they value enough to trade for it. You deliver pre-approved, ready-to-buy members with financing already locked, the cleanest, fastest, most certain transactions in their day. No financing fall-through. No deals dying in funding. No customers who get cold feet during a two-hour finance pitch. Faster funding, higher close rates on the deals you send, and fewer cancellations.

A dealer trades the *chance* to flip some members for the *certainty* of closing the members you send, quickly and cleanly, with no financing risk. For a high-volume dealer, a steady stream of pre-

approved buyers who are going to close fast is worth more than the occasional flip margin on a customer who might have walked anyway. You're not asking dealers to work against their interest. You're offering them a better, more certain kind of deal in exchange for the one thing that was costing you everything. Plenty of dealers take that trade gladly.

What this does to your portfolio

Put the no-flip structure on top of the easy marketplace and the better service, and the leak you measured back in the first chapter, that gap between approved and funded, starts to close in a way no marketing campaign could ever achieve. The members you approve aren't wandering into the box anymore, because there is no box in the path. They shop in your brand, lock financing with you, and take delivery from a dealer who can't touch the loan. Approved becomes funded. The line that was bleeding gets sutured, structurally, permanently, by design rather than by effort.

That's the whole architecture: get to the member first, make it easy, make it genuinely better, and structure it so the loan can't be flipped at the end. Each piece supports the others, and the no-flip structure is the load-bearing wall. Remove it and the building leaks again. Keep it and the loans you win are the loans you keep.

Goodwill doesn't scale; structure does

Every soft attempt to keep loans from leaking relies, in the end, on goodwill, and goodwill is the wrong foundation. You ask the dealer to honor your member's pre-approval. You hope the finance manager doesn't push too hard. You build a referral relationship and trust that it holds. And sometimes it does, with a particular dealer, for a while, until the manager changes or a slow month makes the flip margin too tempting to leave on the table. Goodwill is a promise made by people whose incentives run against the

promise, which means it's a promise that breaks exactly when it matters most.

Structure doesn't break, because it doesn't depend on anyone choosing to be good. A no-flip agreement isn't a hope that the finance office behaves; it's a rule that removes the finance office from the financing decision entirely. The member arrives financed, and the deal is built so they leave financed the same way. You stop relying on the kindness of people paid to flip you and start relying on terms that don't bend. That's the difference between a strategy that works on a good day with a friendly dealer and a strategy that works every day with every dealer in the network. One is a wish. The other is architecture.

What the dealer actually trades, in dollars

Let's be honest about the dealer's side of the trade, because hand-waving it is how these arrangements fall apart. The dealer is giving up F&I flip margin, which on a given deal can be real money, the reserve on a marked-up rate plus a share of the backend products. That's not nothing, and a dealer who only ever sees one of your members a month will not give it up.

But change the volume and the math flips. A dealer who's receiving a steady stream of pre-approved, ready-to-close buyers, deals that fund fast, don't fall through on financing, and don't die in a two-hour finance pitch, is running a fundamentally more profitable operation per hour of their staff's time, even at lower per-deal F&I. They close more, faster, with less labor and fewer dead deals, on customers who were going to be hard to find on their own. For a volume-minded dealer, predictable throughput beats occasional flip margin, the same way a wholesaler takes thinner margin for guaranteed volume. Your job in building the network is to find and reward the dealers who think like operators rather than like finance offices, and to make the volume you send them worth the trade. The more members flow through your mar-

ketplace, the better that trade gets, and the easier the network is to grow and hold. The structure becomes self-reinforcing: volume makes the no-flip deal attractive, and the no-flip deal protects the loans that create the volume.

What no-flip feels like from the member's seat

The phrase “no-flip structure” sounds like something done to dealers, a restriction, a contract clause, a piece of plumbing the member never sees. But the most important effect of it is something the member feels, even if they never know the term, and it's worth naming because it's the difference between a policy and an experience.

Here's what the member feels: relief. The single most stressful part of buying a car is the finance office, the sense that the moment you let your guard down you'll be talked into a worse deal, a longer term, a stack of products you didn't want. People walk into that room braced. The no-flip structure quietly removes the thing they're bracing against. The member arrives with financing already locked, drives the car, and discovers there's no second negotiation waiting, no menu, no pressure pitch, no payment that mysteriously crept up between the lot and the paperwork. The deal they made is the deal they get. They don't have a word for why this felt so different. They just know it was the first time buying a car didn't feel like a fight.

That feeling is doing enormous work for you, even though it lives downstream of a structural decision the member never sees. The member's trust in you goes up precisely because nothing tried to undo the deal you gave them. The no-flip structure isn't only protecting the loan on your balance sheet; it's protecting the member from the exact experience they hate most, and they credit *you* for the protection. So the keystone that holds your portfolio together is the same keystone that produces the member's loyalty. One structural choice, two payoffs: the loan stays funded with you, and the member walks away trusting you more than they trusted you be-

fore. You rarely get a single mechanism that serves the balance sheet and the relationship at the same time. This is one.

Which is why I keep insisting the structure isn't bureaucratic fine print. To you it's how approved becomes funded. To the dealer it's the trade they make for clean, fast volume. But to the member, the only party whose feelings actually drive the next car and the referral and the lifetime relationship, it's the thing that finally made the worst purchase in their life feel safe. Structure on your side of the table, trust on theirs, produced by the same decision. That's as close to a free lunch as this business offers.

The one thing left to make it run

We now have a complete model on paper. There's one practical problem standing between the model and reality, and it's the same problem that killed the buying service: doing all of this for *every* car-buying member, at speed, without hiring an army. The pre-approvals, the member outreach, the appointment-setting, the follow-up, the staying-present across the life of every loan, the watching for refinance threats, the being-first when the member's ready to buy again. Done by hand, that's a department you can't afford. That's exactly the wall every previous attempt hit. The thing that finally lets a lean credit union team run this model at full scale, and the reason this book could not have been written ten years ago, is the engine we turn to next.

The AI Engine That Makes It Affordable

I've been skeptical of technology promises my whole career, because the auto and lending industries are graveyards of software that was going to change everything and didn't. So understand the weight of what I'm about to say: artificial intelligence is the first thing in twenty-plus years that genuinely changes what a small lending team can do. Not because it's magic, but because it removes the labor ceiling that has quietly capped every good idea in this book before it. The buying service couldn't scale because it ran on human hours. The reason you can build the model in this book now, and couldn't have a decade ago, is that the human hours are no longer the constraint.

This chapter is not a lecture on AI. It's a practical look at the specific jobs that used to require a department and now don't, and why that changes the economics of the whole strategy.

The labor ceiling, finally lifted

Walk back through everything the retention model asks for. To win capture, you need to respond to every member instantly, attach financing to every car they look at, and move them to delivery in days. To win defense, you need to watch every loan in the portfo-

lio for refinance risk and reach out before the member acts. To win recapture, you need to stay in touch across the entire life of every loan and be first in line when the member's ready for the next car. To run the marketplace, you need to set appointments, follow up on stalled deals, answer questions at ten at night, and keep every pipeline moving.

Done by hand, that's a call center, a marketing team, and a concierge desk combined, the exact cost structure that made every previous attempt collapse under its own payroll. That's why the good ideas always stayed small. There was never enough staff to deliver great, fast, present service to *every* car-buying member, so it got rationed to a few. AI removes that ceiling. The work that required an army can now be run by a lean team supervising automated systems, which means, for the first time, you can deliver the full experience to every member instead of a lucky fraction.

The AI BDC: appointments, not noise

In dealership language, the BDC is the business development center, the team that works leads, answers inquiries, and sets appointments. It's labor-intensive, it's where a lot of leads go to die, and it's one of the clearest places AI changes the game. An AI-driven BDC can engage every member the instant they raise their hand, answer their questions in natural conversation, qualify them, and book a real, confirmed appointment, day or night, without a single member sitting in a queue waiting for a callback that, in dealership time, comes too late.

The point isn't that AI is cheaper than a human BDC rep, though it is. The point is that it's *always on* and *infinitely parallel*. Every member who engages gets an immediate, knowledgeable response at the exact moment of intent, which is the moment that decays fastest. The lead that would have gone cold waiting for Monday gets worked Saturday night. The output of a good AI BDC is not

chatter, it's booked appointments and moving deals, which is the only output that matters.

Retention on autopilot

Defense and recapture, the two retention moments credit unions ignore most, are exactly the kind of work AI does best, because they're about watching, timing, and reaching out at scale. An automated system can monitor the portfolio for the signals that a member is about to refinance away, payoff patterns, credit-pull alerts, the timing windows when poaching offers land, and trigger an outreach before the member acts, while a human still reviews and approves the response. The refinance you'd never have seen coming becomes a save.

Recapture is even more natural. The system knows when each loan is maturing, when a member is statistically likely to be back in market, when a lease is ending or a car is reaching trade-in age. It can reach out, automatically and personally, at the right moment, so that you're the first call when the member's ready for the next car instead of being forgotten until they're already on a dealer's lot. The thing no credit union has the staff to do by hand, stay present and timely across thousands of loans for years, is precisely the thing automation does effortlessly. Retention stops depending on someone remembering to follow up and starts happening by default.

Minimal headcount, maximum coverage

Put it together and you get the operating model that makes this whole strategy viable for a credit union that isn't going to staff up a hundred-person auto division. A lean team, augmented by AI, runs pre-approval, instant member engagement, marketplace support, appointment-setting, follow-up on every stalled deal, refinance defense, and recapture outreach across the entire portfolio. The humans do the judgment work, relationship moments, excep-

tions, oversight, while the system does the volume work, the instant responses, the tireless follow-ups, the timing.

This is the same theme I've built every one of my businesses on: let automation carry the operational load so a small team can run something that used to require a large one. Applied here, it means a credit union can deliver dealership-beating speed and concierge-beating attention to every car-buying member, at a cost that actually works, which is the precise thing that was impossible in the era of the manual buying service. The ceiling that capped every prior attempt is gone.

A word on doing it responsibly

None of this is an argument for turning your members over to a black box. Auto lending is regulated, fair-lending rules are real, and the credit decisions themselves, who qualifies and at what rate, belong under human-governed, compliant underwriting, not improvised by an unsupervised model. The right way to deploy AI here is on the engagement, communication, timing, and operational layers, the work of reaching the right member at the right moment with the right message, while your existing underwriting, funding, and compliance controls stay firmly in place and firmly governed. Used that way, AI doesn't add risk. It removes the labor constraint that kept you from serving your members well, and it does it inside the guardrails you already trust.

A day in the life of the engine

Make it concrete. Picture a single Saturday at a credit union running this model, and watch what the engine handles without a human touching most of it.

At 9 a.m. a member finishes a pre-approval and starts browsing the marketplace. The engine greets them, answers two questions about a vehicle they saved, and notes they're price-sensitive on payment. At 11, another member who got approved Thursday

but went quiet gets a gentle, personal nudge, and re-engages. Early afternoon, a member who's been comparing three SUVs is ready; the engine books a confirmed delivery appointment with a network dealer and sends the member the details. Around 4, a portfolio signal fires: an existing member just had their credit pulled by an outside lender, a classic refinance-poaching tell, and the system queues a retention outreach for a human to review Monday morning. At 8 p.m., long after the lending team has gone home, three more members browse, ask questions, and get real answers, and one books an appointment for Sunday.

Not one of those members waited in a queue. Not one got a Monday callback for a Saturday intent. The lean team that supervises all of it spent the weekend off, and walked in Monday to a pipeline that moved itself forward, with the handful of judgment calls, the refinance save, an exception, a tricky trade, teed up and waiting for a human. That's the engine. It doesn't replace your people. It makes your people's reach effectively unlimited.

The four jobs you automate first

When a lending team hears "AI engine," they picture something vast and vague. It's the opposite. The engine is just four specific, unglamorous jobs that used to eat human hours, now done by software that never sleeps and never gets behind. Get these four right and you've built ninety percent of the value. Everything else is refinement.

The first job is *instant response*. A member who engages, an application started, a question asked, a car saved, hears back immediately, at any hour, instead of waiting for Monday. This single thing closes more leaks than any other, because the leak is largely a timing problem: the member who waits two days for a callback has already been to a dealership by the time you call. The engine answers in the moment the member is actually in market, which is the only moment that converts.

The second job is *follow-up that never drops*. Every approved member who goes quiet gets a personal, well-timed nudge, not one generic blast, but a sequence that reads the member's behavior and responds to it. Humans are terrible at this, not because they're lazy but because there are too many members and follow-up is the first thing to fall off a busy desk. The engine simply never forgets and never gets too busy, so the member who would have slipped through the cracks gets a timely, relevant touch instead.

The third job is *appointment-setting*. The engine does the work of a BDC, qualifying intent, answering questions, and booking confirmed delivery appointments with network dealers, so a ready member converts into a scheduled, financing-locked delivery without a salesperson ever working a phone bank. This is where "a lean team runs the volume of a department" stops being a slogan: the machine sets the appointments, the humans handle the judgment calls.

The fourth job is *portfolio watch*. Across every loan you hold, the engine watches for the signals that a member is about to be poached, an outside credit pull, a refinance shopping pattern, an approaching payoff, and surfaces them to a human while there's still time to act. This is the defense play from the retention chapter, and it's pure found money, because the loan is already yours and you're simply refusing to let it walk.

Notice what these four have in common. None of them is exotic. Each is a job a credit union would love to do for every member and simply cannot afford to staff at that scale by hand. That's the whole point. The engine doesn't do anything a great employee couldn't do; it does what a great employee does, for every member, at every hour, without the headcount. It raises the ceiling on how many members one person can genuinely take care of, and in a business where the leak is fundamentally about not being present at the right moment, being present for everyone, always, is the entire game.

For the skeptic in the room

If you've been around long enough to be suspicious of technology promises, good, so am I, and there's a clean way to keep yourself honest about this. Don't buy the vision. Test the output. The only thing an AI engine is worth in this context is whether it produces more funded loans per staff member than the manual alternative, and that's measurable. Run it on a segment. Count the booked appointments it sets, the stalled deals it revives, the refinance saves it surfaces, the recapture loans it brings back. Compare the cost per funded loan with and without it.

If the engine is real, those numbers move and the math is obvious. If it's hype, you'll see that fast and cheaply, on a pilot, before you've committed anything. I'm not asking you to believe AI is magic. I'm telling you it's the first tool in my career that lifts the labor ceiling enough to make great service to *every* member economically possible, and that's a claim you can put to a test instead of taking on faith. Test it. That's the whole point of the next chapter, which is about building this carefully, provably, and without betting the institution.

From model to reality

We now have the complete machine. Get to the member first. Make it easy. Make it genuinely better. Structure it so the loan can't be flipped. And run the whole thing with an AI engine that lifts the labor ceiling so you can deliver it to every member, not a few. On paper, it's whole. The last question is the one every executive actually asks: how do I build this without breaking my charter, blowing up my dealer relationships, or betting the institution on a transformation? That's the final chapter, and it's the most practical one in the book.

Building the Pre-Approved Credit Union

STRATEGY is easy to admire and hard to start. By now the model should make sense to you: get to the member first, make it easy, make it better, structure out the flip, and run it on an AI engine. The reasonable executive's next thought is not *this right*, it's *how do I actually do this without breaking something*. This chapter is the practical answer. You do not transform your auto program in a single quarter, and you do not bet the institution on it. You start small, prove it, and scale what works.

Start by measuring the leak

Before you build anything, build the number. Go back to the first chapter and actually run it: take three years of auto applications, follow each to its end, and sort them into funded-with-us, funded-elsewhere, and never-funded. The funded-elsewhere bucket is your leak, and its size is your business case. You don't need a consultant or a committee for this; you need your own data and the willingness to look at it honestly. That number is what gets your board to take the rest seriously, and it's what you'll measure everything against later. You can't prove you closed the leak if you never measured it open.

Phase it; don't bet the institution

The right rollout is staged, and each stage de-risks the next. Begin with a contained pilot: a defined segment of members, a limited dealer network, your existing underwriting and funding systems untouched underneath a new front-end experience. Keep your current programs running in parallel; you're adding a better path, not ripping out the old one on day one. Let the pilot generate a clean before-and-after on the one metric that matters, approved-to-funded conversion, for the members who travel the new path versus the ones who don't.

If the pilot closes the gap, and a well-built version will, you expand the member segment, grow the dealer network, and lean more weight onto the new path. If it doesn't, you've risked a pilot, not the franchise. This is how you bring a cautious board along: not with a vision deck and a leap of faith, but with a small, measured proof that the leak closes when members travel a path you control. Phased rollout turns a scary transformation into a series of survivable experiments.

Build, buy, or partner

You have three ways to get the capability, and the honest answer is that almost no credit union should build it from scratch. Building means standing up a vehicle marketplace, an AI engagement engine, a dealer network with no-flip agreements, and the integration into your loan systems, a multi-year software and operations undertaking that is nobody's core competency inside a lending shop. Most credit unions will be far better served partnering with a platform that already has the marketplace, the structure, and the engine built, and configuring it to their brand and their underwriting.

The questions to ask a potential partner map exactly onto this book. Does the member shop inside *my* brand, or am I a logo on someone else's site? Is there a real no-flip structure, or is it just a nicer referral to a dealer who can still flip? Does it run on automa-

tion that lets my lean team serve every member, or does it secretly depend on labor that caps its scale? Does it keep my underwriting, funding, and compliance controls in my hands? And can it prove, with data, that it closes the approved-to-funded gap? A partner who can answer those cleanly is offering the model in this book. A partner who can't is offering a repackaged buying service, and you already know how that ends.

Mind the charter and the compliance line

A credit union is not a fintech, and your constraints are real. Fair-lending obligations, the regulatory expectations around auto lending, your field of membership, the governance your examiners expect, none of that goes away because you've modernized the experience. The good news is that the model is designed to keep the regulated core, the credit decision, the rate, the funding, exactly where it already lives, under your existing compliant controls. What changes is the experience and the engagement around that core, not the underwriting itself. Keep your compliance team in the room from the first pilot conversation, not as a brake but as a designer, and build the new path inside the lines from the start. It's far cheaper than retrofitting compliance onto something already running.

Don't break the dealers you need

You will still need dealers, to deliver vehicles, and the no-flip structure asks something of them, so the relationship matters. Approach the dealer network as a partnership with a clear trade: you bring pre-approved, ready-to-close, fast-funding buyers; they deliver the car and skip the flip. Start with dealers who value volume and certainty over F&I margin, the ones who'd rather close ten clean deals fast than grind one flip. As your member volume through the marketplace grows, the value you offer dealers grows with it, and the network gets easier to build and hold. Don't frame it as taking

something from dealers. Frame it, truthfully, as giving them the cleanest deals in their week.

Your 90-day first move

If you want a concrete place to start, here it is, and it fits in a quarter. In the first thirty days, run the leak analysis and put the real approved-to-funded number in front of your leadership. In the next thirty, scope a contained pilot, the member segment, the handful of dealers, the platform partner, and define the single success metric up front. In the final thirty, launch the pilot to a small group and start collecting the before-and-after. Ninety days from deciding, you'll have moved from a vague sense that loans are leaking to a measured number and a live test of the fix. That's not a bet. That's diligence.

The numbers to watch once you're live

Once the pilot is running, manage it by a short list of metrics that actually tell you whether the model is working, not the vanity numbers that hid the leak in the first place.

The headline metric is approved-to-funded conversion for members on the new path versus everyone else. That single comparison is the whole thesis of the book expressed as a number; if the new path doesn't fund a meaningfully higher share of approvals, something's wrong, and if it does, you have your proof. Watch time-to-fund, because speed is how you beat the dealership's instant gratification; you want to see it measured in days, not weeks. Watch engagement: how many approved members actually shop the marketplace, and how far down the funnel they travel. Watch the pipeline shape, where deals stall, so the engine and your team can focus there. And over time, watch retention proper: refinance saves and recapture loans, the next-car business that proves you've built a relationship and not just a transaction.

Notice what's not on the list: raw application count, the comforting number that grows while the franchise erodes. You already know that one lies. Build your auto dashboard around funding, speed, engagement, and retention, and you'll be managing the business that actually pays you instead of the one that just looks busy.

The ninety-day pilot, in plain steps

You don't transform an institution on faith, and you shouldn't. You run a contained pilot that either produces a number or doesn't, and you let that number make every decision after it. Here's the shape of a ninety-day version, which is enough time to prove the core claim, approved becomes funded when the member travels a path you control, without committing the institution to anything.

The first two or three weeks are measurement, and you can start them today without buying anything. Build the leak report from the first chapter on your real book: pull the last few years of auto applications, follow each to its end, and establish your baseline funding rate. You need this number before you change anything, because it's the thing the pilot has to move, and because you'll want the uncomfortable honesty of a real baseline when the skeptics start explaining away the results later.

The next stretch, roughly weeks three through six, is building the contained path. You're not rebuilding the institution; you're standing up one clean lane for a defined slice of members, a branded shopping-and-financing experience, a handful of network dealers willing to take the no-flip trade, and the automated response and follow-up layer behind it. Keep the scope small on purpose. One region, one member segment, one tight group of dealers. The goal is a working version of the whole model at small scale, not a polished version at large scale.

Weeks six through twelve, you run live traffic through the lane and watch two numbers against your baseline: the funding rate,

approvals that become loans you hold, and the speed, how fast approval turns into funded. If the model works, both move, and they move visibly, because you've removed the detour that was leaking members to the box. You're also watching the softer signals, member feedback, dealer cooperation, the automation's hit rate on appointments and follow-ups, but the two hard numbers are what the pilot lives or dies on.

At day ninety you have a before-and-after you can put in front of your board that no marketing deck could ever produce: *here is what our approved-to-funded rate was, here is what it became when members traveled a path we controlled, and here is the income that represents annualized across the full book.* That's the moment the conversation changes from "should we try this" to "how fast can we scale it," because you're no longer arguing about a theory. You're looking at your own members, your own loans, and a number that moved.

And if it *doesn't* move? Then you learned that cheaply, on a small slice, before betting anything real, which is exactly why you pilot. I've never seen the model fail when the path was genuinely controlled end to end, but the discipline of letting the number decide is what lets a cautious institution move at all. Pilot small, measure honestly, scale what works. That's not a tech strategy. It's just good management applied to the most profitable loan you make.

The mistakes that sink this

Let me save you some pain by naming the ways credit unions get this wrong, because the model is sound but the execution has predictable failure modes.

The first is treating it as a marketing project instead of a structural one. If you launch a prettier shopping site but still send members to a dealer's finance office at the end, you've rebuilt the buying service and you'll get the buying service's results. The no-flip structure is not optional garnish; it's the load-bearing wall. The second is under-resourcing the dealer side. The network is where this

gets real, and it takes deliberate effort to find and sign the volume-minded dealers who'll take the trade. Skip that work and the member has nowhere to take delivery. The third is letting it die as a side initiative no one owns. This needs an executive sponsor who watches the funded-conversion number personally, because anything that lives in the margins of someone's job gets the attention of a side feature, and side features don't move portfolios. The fourth is measuring the old way, celebrating applications and never building the approved-to-funded report, which means you'll never actually know whether it worked. Avoid those four and the model does what it's designed to do. Fall into them and you'll have a nicer website and the same leak.

What you're really building

Step back from the mechanics and remember what this is for. You're not building a marketplace or an AI tool or a dealer network for their own sake. You're building a credit union where the member belongs to you from the pre-approval through the payoff and into the next car, where the loan you approve is the loan you keep, where the most disliked purchase in American life becomes the one your members trust you to make easy, and where the auto loan, your most profitable lending product and the keystone of the primary relationship, stops walking out the door.

The window to do this is open and it won't stay open forever. Members already shop online for everything, and whoever owns the digital car-buying experience will own the loan. The captives keep winning the dealer floor. Banks and fintechs are gaining share by controlling the journey, not by having better rates. The credit unions that move now, while the model is still novel and the window is still open, will own the auto-buying relationship with their members for the next decade. The ones that wait will keep filling a leaking bucket and calling the rising application count a success.

You already have what matters most. The members trust you. They come to you first. Everything in this book is just about stopping the long habit of making it hard for them to finish with you and easy for everyone else to take them away. Measure the leak. Run the pilot. Take the auto loan back.

Conclusion: Take the Auto Loan Back

I started this book with Maria, the sixteen-year member who did everything right and still watched her loan go to a captive lender in Tokyo. I want to end by telling you that her story is not a tragedy about a member who got away. It's a story about a credit union that won the hardest part and lost the easiest one, and that's the most hopeful thing I know about this business.

Think about what your credit union already accomplished with Maria. You earned her trust over sixteen years. You built a brand she thought of first. You got her to apply with you before she shopped, to want your loan, to walk into that dealership intending to use it. Every hard, expensive, slow part of winning a member's auto business, you'd already done. The only thing you lost was the last hundred feet, the part that happens in a room you don't control, and you lost it not because you were outcompeted on trust or rate or relationship, but because you went quiet at the finish line and let someone else hold the pen.

That's not a deficit. That's a layup you've been missing. And everything in this book is about finally making it.

The model is not complicated, which is part of why it works. Get to the member first, which you already do. Make it easy to finish with you, by giving them a branded marketplace where they can shop and lock financing without ever entering the box. Make the experience genuinely better, by removing the adversarial dealership process and honoring the trust the member brought you. Structure

the deal so the loan can't be flipped, so approved becomes funded by design. And run the whole thing on an AI engine that lifts the labor ceiling, so you deliver it to every member instead of a lucky few. That's the entire book in five sentences. The rest was just evidence.

What makes it urgent is that the window is open now and closing. Your members already shop online for everything else; the institution that owns the digital car-buying experience will own the loan, and right now that institution is up for grabs. The captives keep winning the dealer floor. The banks and fintechs are taking share by controlling the journey. The credit unions that move while this is still novel will own their members' auto relationships for a decade. The ones that keep pouring marketing into a leaking bucket will keep mistaking applications for victory while the loans walk out the door.

You don't have to transform everything tomorrow. You have to measure the leak, run a pilot, and prove to yourself that when the member travels a path you control, approved becomes funded. Ninety days. One number, one test. That's all the first step costs.

The members trust you. They come to you first. Stop making it hard for them to finish with you. Take the auto loan back.

How to Go Deeper

If this book named a problem you've been feeling, the most useful next step is to put a real number on it. I'll make you an offer that costs you nothing but an hour.

Bring me your last three years of auto applications, or just the willingness to pull them, and I'll walk your team through the leak analysis: how to follow each approval to its end, how to size the funded-elsewhere bucket, and what a realistic before-and-after looks like when members travel a path you control. In a focused fifteen-to-thirty-minute walkthrough, tailored to your portfolio, I'll show you where the leakage happens in your specific operation today and what it looks like when it stops.

There is a platform built on exactly the model in this book, a branded marketplace, a no-flip dealer structure, and the AI engine that lets a lean team run it at scale. I'd rather show you the leak in your own numbers first and let the fix make its own case. If the conversation is useful, we'll talk about what building it for your credit union would take. If it's not, you'll still leave with a number your reports never gave you, and that number alone is worth the hour.

You can reach me to book a walkthrough at the contact information on the following page. Bring your hardest auto-lending question. I've probably lost a loan to it myself.

About the Author

Christian Daniel Anghelcev has spent his career on every side of the car-and-credit transaction. He has worked the dealership floor and the finance office, run a credit union auto-buying service for nearly a decade, and built and operated automotive businesses spanning brokerage, repair, and used-car retail. That combination, dealer-side and lender-side, sales floor and back office, gives him a rare, unsentimental view of where auto loans are really won and lost.

He is the founder of Carscu, a credit-union-first car-buying marketplace built around the idea at the heart of this book: that the credit union, not the dealer, should sit at the center of the member's car-buying journey, and that the loan a credit union approves should be the loan it keeps. He works with credit union lending teams to close the gap between approved and funded, and he is an early and serious builder of AI-driven automation across the businesses he runs.

He lives and works in Ventura County, California, where he is usually within arm's reach of a car, a lending spreadsheet, or both.

To inquire about speaking, walkthroughs, or working together:

Carscu • The Credit Union Car Marketplace

carscu.com • 800.589.0520